

Analysis of the German Sanction Mechanism

Legislative Analysis

Institute of Legislative Ideas

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Abstract

Germany has developed a comprehensive, multi-layered sanction enforcement mechanism that combines EU-level regulations with national legislation and a dedicated institutional architecture. This analysis examines the legal foundations, institutional structure, enforcement procedures, and criminal provisions of the German sanction mechanism, including the Ukraine-focused asset transfer framework.

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1 Status as of Date

Milestone	Date
Directive (EU) 2024/1226 adopted	24 April 2024
Transposition deadline	20 May 2025
German implementation act adopted	6 February 2026

*Germany transposed the Directive after the EU deadline.*¹

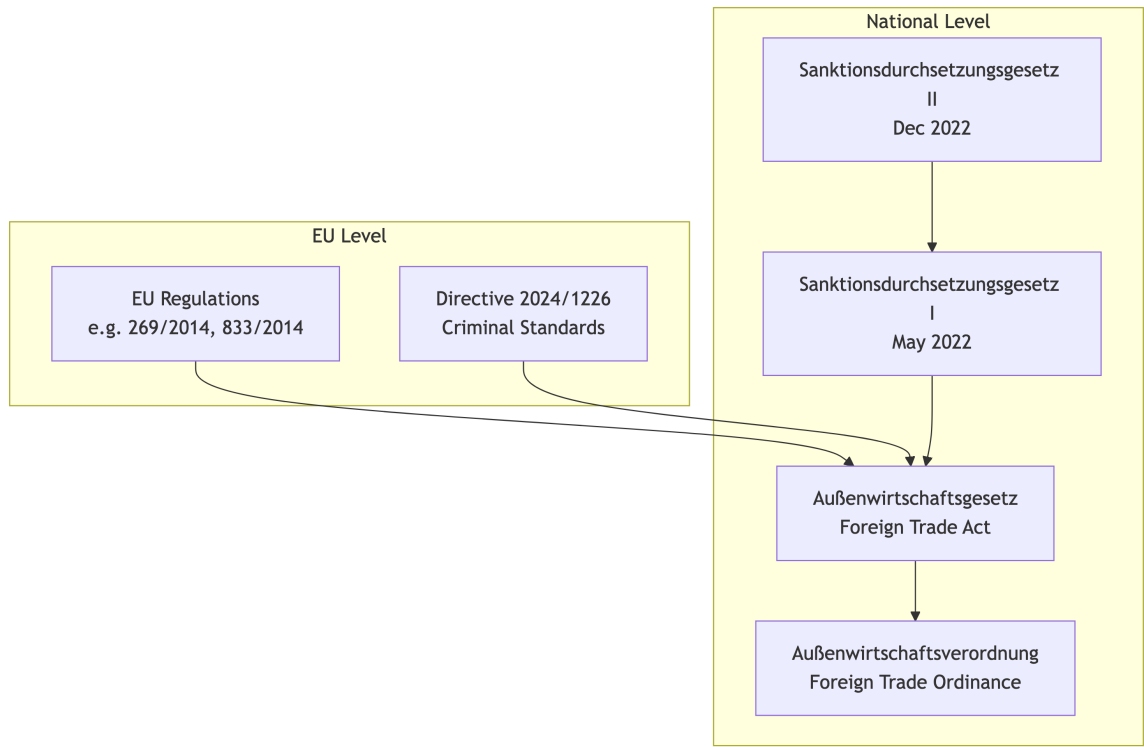
2 Executive Summary

Germany has developed a comprehensive, multi-layered sanction enforcement mechanism that combines EU-level regulations with national legislation and a dedicated institutional architecture. The framework was significantly strengthened in 2022–2024 in response to Russia’s aggression against Ukraine, strengthening the enforcement of EU restrictive measures. This analysis comprises: **(I)** the core German mechanism (legal foundations, institutional structure, enforcement procedures, criminal provisions); **(II)** an annex on Ukraine-focused asset transfer implications.

¹Bundestag, adoption of implementation act, 6 Feb 2026, <https://www.bundestag.de/presse/hib/kurzmeldungen-1050080>

3 1. Legal Framework

3.1 1.1 Hierarchical Structure



Legal framework hierarchy

Plain-text fallback: EU level: Regulations (269/2014, 833/2014) and Directive 2024/1226 feed into national AWG. AWG implements via AWV. SDG I (May 2022) and SDG II (Dec 2022) amend AWG.

3.2 1.2 Core Legislation

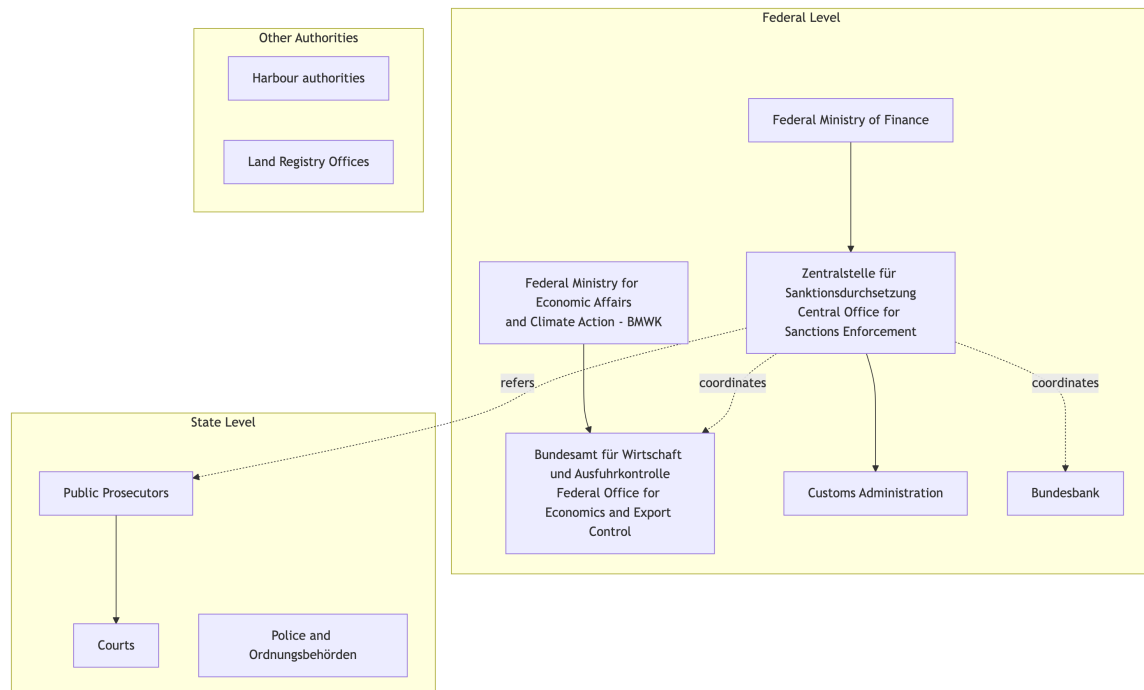
Instrument	German Name	Function
Foreign Trade Act	<i>Außenwirtschaftsgesetz (AWG)</i>	Primary legal basis; defines prohibited activities; establishes criminal and administrative penalties
Foreign Trade Ordinance	<i>Außenwirtschaftsverordnung (AWV)</i>	Implements AWG; contains authorization, procedural, and reporting requirements
Sanctions Enforcement Act I	<i>Sanktionsdurchsetzungsgesetz I</i>	Swift implementation (May 2022): asset freezing powers, data exchange, reporting obligations
Sanctions Enforcement Act II	<i>Sanktionsdurchsetzungsgesetz II</i>	Structural reform (Dec 2022): Central Office, transparency register, anti-money laundering measures

3.3 1.3 EU Direct Effect

EU sanctions regulations (e.g., Regulation 269/2014, Regulation 833/2014) have **direct effect** in Germany—they are immediately applicable without further national implementation. The prohibitions are part of the general legal order; no administrative act is required to enforce them.

4 2. Institutional Architecture

4.1 2.1 Enforcement Bodies Overview



Enforcement bodies and coordination

Plain-text fallback: Federal: BMF, BMWK, ZfS, BAFA, Customs, Bundesbank. ZfS under BMF; BMWK supervises BAFA. State: Prosecutors, courts, police. Other: Harbour authorities, land registry. ZfS coordinates BAFA and Bundesbank; refers to prosecutors.

4.2 2.2 Central Office for Sanctions Enforcement (ZfS)

Attribute	Details
Establishment	1 January 2023
Location	<i>Direktion XI</i> of the Federal Customs Administration (<i>Generalzolldirektion</i>)
Supervision	Federal Ministry of Finance

Source: Sanctions Enforcement Act II; Federal Customs Administration (Zoll).

Core Functions: - Administrative asset investigations regarding frozen assets - Interviewing persons, securing documents and objects - Searching residences and business premises - Maintaining register of sanctioned persons and their assets - Operating tip-off centre for sanctions violations - Coordinating all authorities involved in sanctions enforcement - Appointing special commissioners for sanctions-adjacent companies

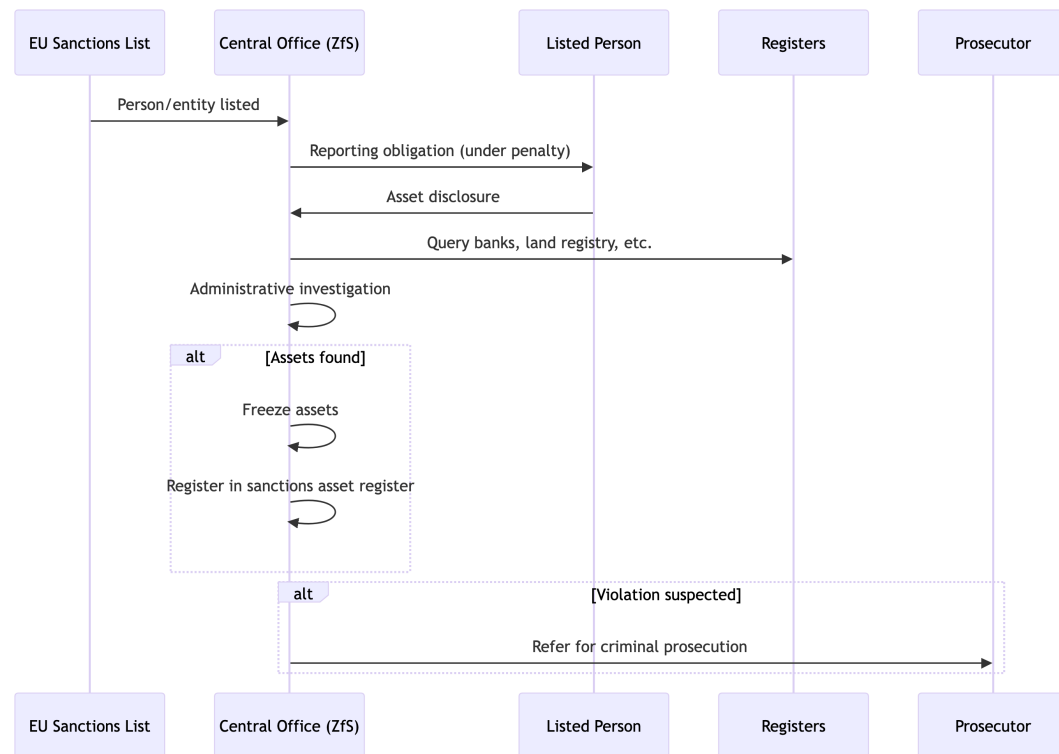
4.3 2.3 Division of Competences

Authority	Primary Responsibility
BAFA	Export controls; dual-use goods; export/import authorisations
Customs	Monitoring imports, exports, transit; supporting prosecution
Bundesbank	Monitoring compliance with financial sanctions
ZfS	Asset freezing; person listings; cross-agency coordination
Public Prosecutors	Criminal prosecution of sanctions violations

Authority	Primary Responsibility
Harbour authorities / Land Registry	Sector-specific enforcement within their competence

5 3. Enforcement Process

5.1 3.1 Asset Freezing and Investigation Flow



Asset freezing and investigation sequence

Plain-text fallback: EU lists person → ZfS enforces reporting obligation → listed person discloses assets → ZfS queries registers, investigates → if assets found: freeze and register; if violation suspected: refer to prosecutor.

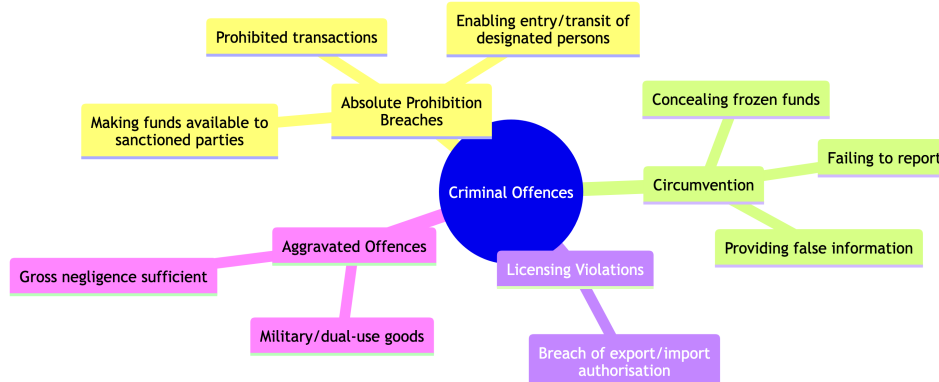
5.2 3.2 Key Enforcement Powers (Sanctions Enforcement Acts)

- **Witness examination** for ownership clarification
- **Securing evidence** and documents
- **Search** of residences and business premises
- **Access to public registers** (land registry, etc.)
- **Account queries** and securities depot identification
- **Inter-agency data exchange**
- **Asset disclosure obligation** for listed persons (conceptually similar to German provisions; no legislative history cited for direct influence)
- **UN sanctions lists** apply automatically for up to 5 days (AWG §5a(2))²

²AWG §5a(2), https://www.gesetze-im-internet.de/awg_2013/___5a.html

6 4. Criminal and Administrative Sanctions

6.1 4.1 Criminal Provisions (AWG §18)



Criminal offence categories

Plain-text fallback: Criminal offences: absolute prohibition breaches (funds, entry/transit, transactions); circumvention (concealing funds, false info, failing to report); licensing violations; aggravated offences (military/dual-use, gross negligence).

6.2 4.2 Penalty Structure (Directive 2024/1226, Art. 5 and 6)

Natural persons (Art. 5): Member States must provide for imprisonment as the maximum penalty. Minimum required maximum terms:³ - **Standard offences:** maximum term of imprisonment of at least 1 year - **Aggravated offences** (e.g. military/dual-use goods, circumvention involving concealment): maximum term of at least 5 years - **Serious negligence** sufficient for certain conduct (e.g. military items, dual-use goods) - **Optional exclusion:** violations involving value < EUR 10,000 may be excluded from criminal offence (Art. 4)

Legal persons (Art. 6): Effective, proportionate and dissuasive penalties, including: - Fines (as % of total worldwide turnover or fixed amounts) - Exclusion from public benefits or aid - Temporary or permanent disqualification from business - Judicial winding-up

6.3 4.3 Administrative Penalties

The AWV provides for administrative fines (*Ordnungswidrigkeiten*) for regulatory breaches that do not meet the threshold for criminal prosecution.

6.4 4.4 Germany Transposition Gap (2025–2026)

Germany missed the Directive transposition deadline (20 May 2025) and adopted the implementation act on 6 February 2026.⁴

Before 2026 (AWG/AWV as previously in force): Criminal liability existed for core prohibition breaches and licensing violations; many sectoral and circumvention-related breaches were treated as administrative offences only.

Changes introduced by the 2026 implementation act (BGBl. I 2026):⁵ - **AWG §18 Abs. 1 Nr. 1–3:** Expanded absolute prohibition offences; **Abs. 1 Nr. 3:** new circumvention offences (concealing frozen funds, false/misleading information); **Abs. 1 Nr. 4:** licensing breaches; **Abs. 5a:** universal reporting obligation (formerly administrative under §19(5) Nr. 1) upgraded to criminal; former AWV §82(9) Nr. 1–9, §82(1) Nr. 12, 14, 16–18 offences (transaction bans, financial services, investment

³Directive (EU) 2024/1226, Art. 5 and 6, <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX:32024L1226>

⁴Bundestag, adoption of implementation act, 6 Feb 2026, <https://www.bundestag.de/presse/hib/kurzmeldungen-1050080>

⁵AWG §18 (Abs. 1 Nr. 1–4, 5a), §19(7), https://www.gesetze-im-internet.de/awg_2013/___18.html, https://www.gesetze-im-internet.de/awg_2013/___19.html; AWV §82, https://www.gesetze-im-internet.de/awv_2013/___82.html; implementation act BGBl. I 2026

bans) now criminal when intentional.⁶ - **AWG §19 Abs. 7:** New “particularly serious” goods-related offences (6 months–10 years) for incorrect information or use of non-EU companies under perpetrator control.⁷ - **AWV §82:** Provisions restructured; former administrative offences moved to criminal level. - **Corporate fines:** AWG §19(7) raises punitive ceiling for *Verbandsbußgeld* from €10 million to €40 million for underlying criminal offences committed by managers (Directive 2024/1226 Art. 6; BGBl. I 2026).⁸

7 5. Anti–Money Laundering Integration

The Sanctions Enforcement Acts strengthen the link between sanctions enforcement and anti–money laundering:

Measure	Purpose
Transparency register	Links land registry data (owners, parcels) to legal entities; improves beneficial ownership tracing
Cash ban for real estate	No cash, crypto, or precious stones for property transactions
Stricter reporting	Foreign entities holding German real estate face enhanced transparency requirements
“Follow the money” principle	Strategic shift in AML approach

8 6. Circumvention Prevention

8.1 6.1 Domestic Measures

- **Exporter obligations:** Reg. 833/2014 requires exporters to supply competent authorities with all relevant information for export authorisation applications (Art. 2(2), Art. 3(4), Art. 4(4)).⁹
- **Inter-state and Commission information-sharing:** Art. 6 Reg. 833/2014 obliges Member States and the Commission to inform each other of measures taken, authorisations granted, and violations/enforcement problems.¹⁰
- **Advisory paper** for companies on goods-trade–related sanctions and risk indicators
- **Enhanced due diligence** guidance (EU Commission, Sept 2023)

8.2 6.2 International Coordination

Germany participates in EU and G7 coordination (Freeze and Seize Task Force, REPO Task Force) for sanctions enforcement. These fora support information exchange and alignment with partner countries but do not create additional German legal competences beyond those in AWG/AWV and the Sanctions Enforcement Acts.

8.3 6.3 Anti-Circumvention Instrument (11th EU Package)

- Export traceability
- Blacklisting of circumventing companies

⁶AWG §18 (Abs. 1 Nr. 1–4, 5a), §19(7), https://www.gesetze-im-internet.de/awg_2013/___18.html, https://www.gesetze-im-internet.de/awg_2013/___19.html; AWV §82, https://www.gesetze-im-internet.de/awv_2013/___82.html; implementation act BGBl. I 2026

⁷AWG §18 (Abs. 1 Nr. 1–4, 5a), §19(7), https://www.gesetze-im-internet.de/awg_2013/___18.html, https://www.gesetze-im-internet.de/awg_2013/___19.html; AWV §82, https://www.gesetze-im-internet.de/awv_2013/___82.html; implementation act BGBl. I 2026

⁸AWG §18 (Abs. 1 Nr. 1–4, 5a), §19(7), https://www.gesetze-im-internet.de/awg_2013/___18.html, https://www.gesetze-im-internet.de/awg_2013/___19.html; AWV §82, https://www.gesetze-im-internet.de/awv_2013/___82.html; implementation act BGBl. I 2026

⁹Regulation (EU) 833/2014 (consolidated), Art. 2(2), 3(4), 4(4) (exporter obligations), Art. 6 (information-sharing), <https://eur-lex.europa.eu/eli/reg/2014/833/oj/eng>

¹⁰Regulation (EU) 833/2014 (consolidated), Art. 2(2), 3(4), 4(4) (exporter obligations), Art. 6 (information-sharing), <https://eur-lex.europa.eu/eli/reg/2014/833/oj/eng>

- Export bans on dual-use goods to entire third countries (last resort)
- Close cooperation with third countries

9 7. Key Findings and Lessons

9.1 7.1 Strengths of the German Model

1. **Centralised coordination** via ZfS reduces fragmentation and improves information flow
2. **Dual-track enforcement**: administrative (freezing, monitoring) and criminal (prosecution) work in parallel
3. **Rapid legislative response**: Two Sanctions Enforcement Acts within months of the crisis
4. **EU alignment**: German reporting obligation for listed persons (asset disclosure) is conceptually similar to EU provisions; preparatory documents do not establish direct causal influence
5. **Integration with AML**: Sanctions and money laundering treated as interconnected risks
6. **Public involvement**: Tip-off centre enables civil society and market participants to report violations

9.2 7.2 Structural Characteristics

Aspect	German Approach
Legal basis	EU regulations + national AWG/AWV + dedicated enforcement acts
Coordination	Single central authority (ZfS) with cross-cutting mandate
Criminalisation	Harmonised with EU minimum standards (Directive 2024/1226); Germany transposed in Feb 2026
Transparency	Public register elements; enhanced beneficial ownership disclosure
International	Active in G7 REPO, EU Freeze and Seize Task Force, EU Envoy

9.3 7.3 Relevance for Ukraine

German tool	Legal prerequisite	Transferability risk
Central Office (ZfS)	Clear mandate, subordination to finance ministry, dedicated budget	Medium: requires institutional capacity and political will
Asset disclosure obligation	Criminal penalty for non-compliance; listed persons under duty	Low: replicable if listing mechanism exists
Inter-agency data exchange	Legal basis in primary legislation; data protection safeguards	Medium: depends on existing AML/financial intelligence architecture
Criminalisation of circumvention	Harmonised offence definitions; serious negligence for certain conduct	Low: Directive provides EU template; national adaptation needed
Sanctions-AML integration	Transparency register; beneficial ownership rules	Medium: Ukraine has AML framework; alignment requires regulatory changes
Tip-off centre	Whistle-blower protection (Directive 2019/1937); confidentiality	Medium: requires standalone or integrated reporting channel

9.4 7.4 Practice and Effectiveness

Data limitations (Feb 2026): The figures below rely on a May 2024 aggregate for frozen assets. No newer official federal-level aggregate was published as of Feb 2026. Comprehensive statistics on investigations, prosecutions, convictions and confiscation outcomes are not consistently published at federal level. The Commission is to assess and publish reports based on Member State data (Directive 2024/1226, Art. 17).

Measurable outputs (where publicly reported):¹¹

Indicator	Data (as reported)	Source
Frozen assets (Russia-related)	~€4 bn (May 2024; historical example). ¹²	Federal Ministry of Finance; Reuters
ZfS establishment	1 Jan 2023	Sanctions Enforcement Act II
Implementation act (Directive 2024/1226)	Adopted 6 Feb 2026	Bundestag

10 Annex A: Ukraine-Focused Asset Transfer Implications

The following annex addresses transfer of frozen/confiscated assets to Ukraine. It is separate from the core mechanism brief above.

10.1 A.1 Where confiscated money goes under German law

- **Freezing is not confiscation:** Under EU sanctions, asset freezing creates a disposal prohibition. German authorities state that assets cannot be seized or confiscated merely because they are frozen under EU sanctions.¹³
- **After criminal confiscation:** Once confiscation is final, ownership transfers to the state under German criminal law (StGB §75).¹⁴
- **Victim-priority route exists:** German criminal procedure provides compensation/return routes for entitled injured parties (StPO §§459h-459m), including return of objects or disbursement of proceeds of realisation where entitlement is substantiated in time.¹⁵

10.2 A.2 Which authorities and funds are responsible

- **Operational sanctions enforcement:** ZfS (asset investigations), BAFA (economic resources reporting), Bundesbank (frozen funds reporting), customs, prosecutors and courts.¹⁶¹⁷
- **Criminal confiscation chain:** Public prosecution offices seek confiscation; courts order confiscation; enforcement authorities administer disbursement/compensation procedures under StPO.
- **No dedicated German “Ukraine fund” for all confiscated sanctioned assets:** The German framework does not contain a standing rule that automatically redirects all confiscated Russia-related assets to Ukraine.
- **Separate EU channel for immobilised sovereign assets’ revenues:** At EU level, extraordinary revenues/net profits linked to immobilised Russian Central Bank assets are channelled through the EU framework (including the Ukraine Loan Cooperation Mechanism), not through a German domestic confiscation fund.¹⁸¹⁹²⁰

¹¹Federal Ministry of Finance, <https://www.bundesfinanzministerium.de/Content/EN/Standardartikel/Topics/Europe/War-in-Ukraine/implementation-of-the-sanctions-on-russia.html>; Reuters, 15 May 2024, <https://www.reuters.com/world/europe/germany-has-almost-4-bln-euros-frozen-russian-assets-finance-ministry-says-2024-05-15/>

¹²Federal Ministry of Finance, <https://www.bundesfinanzministerium.de/Content/EN/Standardartikel/Topics/Europe/War-in-Ukraine/implementation-of-the-sanctions-on-russia.html>; Reuters, 15 May 2024, <https://www.reuters.com/world/europe/germany-has-almost-4-bln-euros-frozen-russian-assets-finance-ministry-says-2024-05-15/>

¹³Federal Ministry of Finance, “Implementation of the sanctions on Russia – overview”, <https://www.bundesfinanzministerium.de/Content/EN/Standardartikel/Topics/Europe/War-in-Ukraine/implementation-of-the-sanctions-on-russia.html>

¹⁴StGB §75 (Wirkung der Einziehung), https://www.gesetze-im-internet.de/stgb/___75.html

¹⁵StPO (English), Sections 459h-459m, https://www.gesetze-im-internet.de/englisch_stpo/englisch_stpo.html

¹⁶Federal Ministry of Finance, “Implementation of the sanctions on Russia – overview”, <https://www.bundesfinanzministerium.de/Content/EN/Standardartikel/Topics/Europe/War-in-Ukraine/implementation-of-the-sanctions-on-russia.html>

¹⁷Zoll (ZfS mandate), https://www.zoll.de/DE/Privatpersonen/Zentralstelle-Sanktionsdurchsetzung/zentralstelle-sanktionsdurchsetzung_node.html

¹⁸Council Decision (CFSP) 2024/1470, <https://eur-lex.europa.eu/eli/dec/2024/1470/oj/eng>

¹⁹Regulation (EU) 2024/2773 (Ukraine Loan Cooperation Mechanism), <https://eur-lex.europa.eu/eli/reg/2024/2773/oj/eng>

²⁰Council Regulation (EU) 2024/1469, <https://eur-lex.europa.eu/eli/reg/2024/1469/oj>

10.3 A.3 Can Ukraine receive assets as victim compensation?

- **Yes, but case-by-case:** Ukraine (or Ukrainian state entities) may seek compensation/disbursement in specific criminal confiscation cases if legal entitlement can be demonstrated under StPO procedures and deadlines.²¹
- **Important limitation:** Sanctions freezing alone does not automatically generate transferable funds to victims; a criminal confiscation outcome or dedicated allocation mechanism is needed.²²²³
- **Emerging EU legal basis for third-country support:** Directive (EU) 2024/1260 allows Member States to use confiscated assets linked to sanctions-crime contexts to support third countries affected by the sanctioned situation (including war aggression scenarios). This is permissive, not automatic.²⁴

10.4 A.4 Policy options for Ukraine (legal feasibility and constraints)

Option	Legal basis / feasibility	Constraints
1. EU extraordinary-revenue channels (ULCM/ERA-linked flows)	Reg. 2024/2773, Reg. 2024/1469; Council Decision 2024/1470. Already operational. ²⁵²⁶	Limited to net profits from immobilised sovereign assets; not applicable to privately held frozen/confiscated assets.
2. German implementation of Directive 2024/1260, Art. 19(2)	Permissive: Member States <i>may</i> use confiscated assets for third-country support. ²⁷	Requires national implementing legislation; Germany has not yet adopted explicit Ukraine-directed allocation rules.
3. Case-by-case litigation under StPO §§459h-459m	Entitled injured parties may seek return/disbursement in criminal confiscation proceedings. ²⁸	Requires final confiscation order; claimant must substantiate entitlement and meet procedural deadlines; no automatic standing for state-level claimants.
4. Germany-Ukraine bilateral framework	No legal barrier if consistent with EU and international law.	Would require treaty or intergovernmental agreement; must align with EU sanctions and confiscation rules.
5. Policy messaging clarity	Analytical distinction only.	Separating frozen vs confiscated vs extraordinary revenues avoids legal confusion and sets realistic expectations. ²⁹³⁰³¹

²¹StPO (English), Sections 459h-459m, https://www.gesetze-im-internet.de/englisch_stpo/englisch_stpo.html

²²Federal Ministry of Finance, “Implementation of the sanctions on Russia – overview”, <https://www.bundesfinanzministerium.de/Content/EN/Standardartikel/Topics/Europe/War-in-Ukraine/implementation-of-the-sanctions-on-russia.html>

²³StGB §75 (Wirkung der Einziehung), https://www.gesetze-im-internet.de/stgb/___75.html

²⁴Directive (EU) 2024/1260, Art. 19(2), <https://eur-lex.europa.eu/eli/dir/2024/1260/oj/eng>

²⁵Regulation (EU) 2024/2773 (Ukraine Loan Cooperation Mechanism), <https://eur-lex.europa.eu/eli/reg/2024/2773/oj/eng>

²⁶Council Regulation (EU) 2024/1469, <https://eur-lex.europa.eu/eli/reg/2024/1469/oj>

²⁷Directive (EU) 2024/1260, Art. 19(2), <https://eur-lex.europa.eu/eli/dir/2024/1260/oj/eng>

²⁸StPO (English), Sections 459h-459m, https://www.gesetze-im-internet.de/englisch_stpo/englisch_stpo.html

²⁹Federal Ministry of Finance, “Implementation of the sanctions on Russia – overview”, <https://www.bundesfinanzministerium.de/Content/EN/Standardartikel/Topics/Europe/War-in-Ukraine/implementation-of-the-sanctions-on-russia.html>

³⁰Council Decision (CFSP) 2024/1470, <https://eur-lex.europa.eu/eli/dec/2024/1470/oj/eng>

³¹Council Regulation (EU) 2024/1469, <https://eur-lex.europa.eu/eli/reg/2024/1469/oj>

11 9. Conclusion

The German sanction mechanism combines a robust EU-derived legal framework with a dedicated institutional architecture centred on the Central Office for Sanctions Enforcement. The 2022–2024 reforms (Sanctions Enforcement Acts I and II) created a model of coordinated, multi-agency enforcement with strong criminal deterrence and anti-money laundering linkages. The 2026 transposition of Directive 2024/1226 further strengthened criminal provisions in the AWG. The framework is designed for effectiveness, transparency, and international alignment—attributes that may inform legislative and institutional design in other jurisdictions, including Ukraine.

12 Annex B: Key Legal References

Reference	Description
Regulation (EU) 269/2014	Asset freezing, travel bans, listings
Regulation (EU) 833/2014	Sectoral and goods-specific sanctions
Directive (EU) 2024/1226	Criminal offences and penalties for sanctions violations
Außenwirtschaftsgesetz (AWG)	German Foreign Trade Act
Außenwirtschaftsverordnung (AWV)	German Foreign Trade Ordinance
Sanktionsdurchsetzungsgesetz I & II	Sanctions Enforcement Acts I and II

13 Sources